

socialized consumption and transfer payments do not constitute a "social wage", unless they are greater than taxes paid by workers. What is important is not any receipt, in cash or in kind, from the state, but rather a net receipt, i.e., positive magnitudes of the difference between "income or services received" and "taxes paid" by workers.

Furthermore, the very existence of the social wage as such is not very informative regarding its impact on the accumulation process. In order to analyze the effect of such state expenditures, the size of the social wage must be presented in relation to a fund which can only be total surplus-value within the Marxist framework. Consequently, the measurement of total surplus-value, both before and after state distributive activities, must be tackled so that one may have a basis in relation to which the impact of the expansion of the social wage on the accumulation can be properly analyzed.

V.A. Gough and the Social Wage

As indicated earlier, our examination of Gough's work will mainly be on a theoretical level. Our criticisms regarding his overall approach to the analysis of the impact of the expansion of the social wage on the accumulation are basically centered around three issues. First, as in the case of Gintis and Bowles and others, Gough also uses the concept of social

wage by only referring to the expenditures of the state. It does not take into account taxation and hence it cannot measure the net impact of the state's distributive activities. Second, when he attempts to develop a framework within which the issue of the net impact of the states distributive activities can be dealt with he does not distinguish the capitalist class from the working class. Consequently, his attempt fails to identify the net impact of the state's distributive activities vis-a-vis each class. Third, he not only fails to distinguish the bourgeoisie from the working class, but also the employed segment of the latter class from the unemployed segment. This particular failure of Gough prevents him from developing an alternative analysis to the position which claims that all taxes come from surplus-value.

We may now proceed to look at Gough's views in some detail. In Chapter 6 of The Political Economy of the Welfare State, Gough presents an extensive analysis and application of the concept of the social wage. Firstly, he considers the transactions between the state and all households in terms of taxation and social benefits. The flows between the "personal" and state sector in 1975 are presented in Table I (Gough, 1979, p. 109). It should be noted that the personal sector consists of households, seemingly "consisting of a couple and two children", which receive their income from labor,

property and state benefits themselves.

As Table I shows, there are three different kinds of income, namely, from employment, self-employment, and property, which amount to a total personal income of 70.8 billion pounds. Income tax and social security contributions are then deducted from this total.

Table I: Flows between the Personal and State Sectors in 1975

Flows	Personal sector	State sector
Income from employment	60.0*	
Income from self-employment	8.7	
Income from property	2.1	
Total personal income	70.8	
Income tax	-15.6	+15.6
National Ins. contributions	-2.8	+2.8
Social-security benefits and other transfers	+9.4	-9.4
Disposable incomes	61.8	
Net savings	-0.3	
Consumption expenditure	61.6	
Indirect taxes	-10.8	+10.8
Subsidies	+3.2	-3.2
Real consumption	54.0	
Social services in kind	+11.4	-11.4
Private and 'social' consumption	65.4	
Net transfers	-5.2	+5.2

NOTES This table attempts to exclude from the CSO's definition of the personal sector (i) private non-profit making bodies, such as universities, and (ii) life assurance and superannuation funds. Inevitably it provides only a rough estimate.

*billions of pounds

1. This table is directly reproduced from (Gough, 1979, p. 109)

However, since social security benefits are paid back to some households, this is also taken into consideration to obtain figures for disposable income. At this stage, there is a net flow of 9 billion pounds from the personal sector to the state, which yields a disposable income figure of 61.8 billion pounds. In his schema, Gough also makes an adjustment for households' savings and proceeds of past savings, i.e., pensions and life insurance. Therefore, the "net savings" category is the difference between these two flows. The next stage deals with expenditure taxes and cash subsidies and benefits, notably those for housing and transport. As a result, there is a net flow of 7.6 billion pounds to the state from the personal sector, which increases the total net flow to 16.6 billion pounds. As a last item, Gough estimates non-cash social services and benefits which he calls "collective consumption". These totaled 11.4 billion pounds in 1975, a net flow to the personal sector. Hence, the net transfer resulting from the state's distributive activities in 1975 was a flow of 5.2 billion pounds ($16.6 - 11.4$) from the personal sector to the state. Since this schema does not contain all state expenditures, Gough states that this fund "contributed to the cost of other items of state expenditure on arms, infrastructure and, most notably . . . on aid to the capitalist sector of the economy" (Gough, 1979, p. 110).³

In the context of Table I Gough uses the concept of "Social wage" as a group of social services both in aid and in cash.⁴ He considers that the particular estimation "shows the great importance of the 'social wage' in the United Kingdom ignoring subsidies, the social services in cash and in kind amounted to almost 21 billion pounds in 1975, approaching 30 percent of personal incomes" (Gough, 1979, p. 110). As I indicated earlier, the payments referred to by Gough do not constitute a "social wage" unless they are greater than taxes paid by workers. Even his own estimations, which include not only workers but also non-workers and capitalists, indicate a negative flow of 5.2 billion pounds when taxes are taken into consideration.

The second, more important issue in Gough's framework has to do with the fact that no distinction is made either between social classes or between working and non-working segments of the working class. This inevitably weakens his attempt to formulate an alternative to the position that all taxes are deductions from surplus-value with its implications on profitability and accumulation. Actually, Gough himself is aware of this deficiency, as he states, in reference to Table 1, "(it) treats the whole personal sector as a homogeneous unit and do(es) not distinguish the major social classes with it. Not do(es it) distinguish . . . the non-working population" (Gough, 1979, p. 114). However, knowing

this fact does not lead him to incorporate such crucial distinctions into his analysis. Instead, he finds it sufficient to discuss the latter distinction in a diagrammatical and abstract manner which as I shall argue below is inadequate and fails entirely to incorporate the former distinction into his framework.

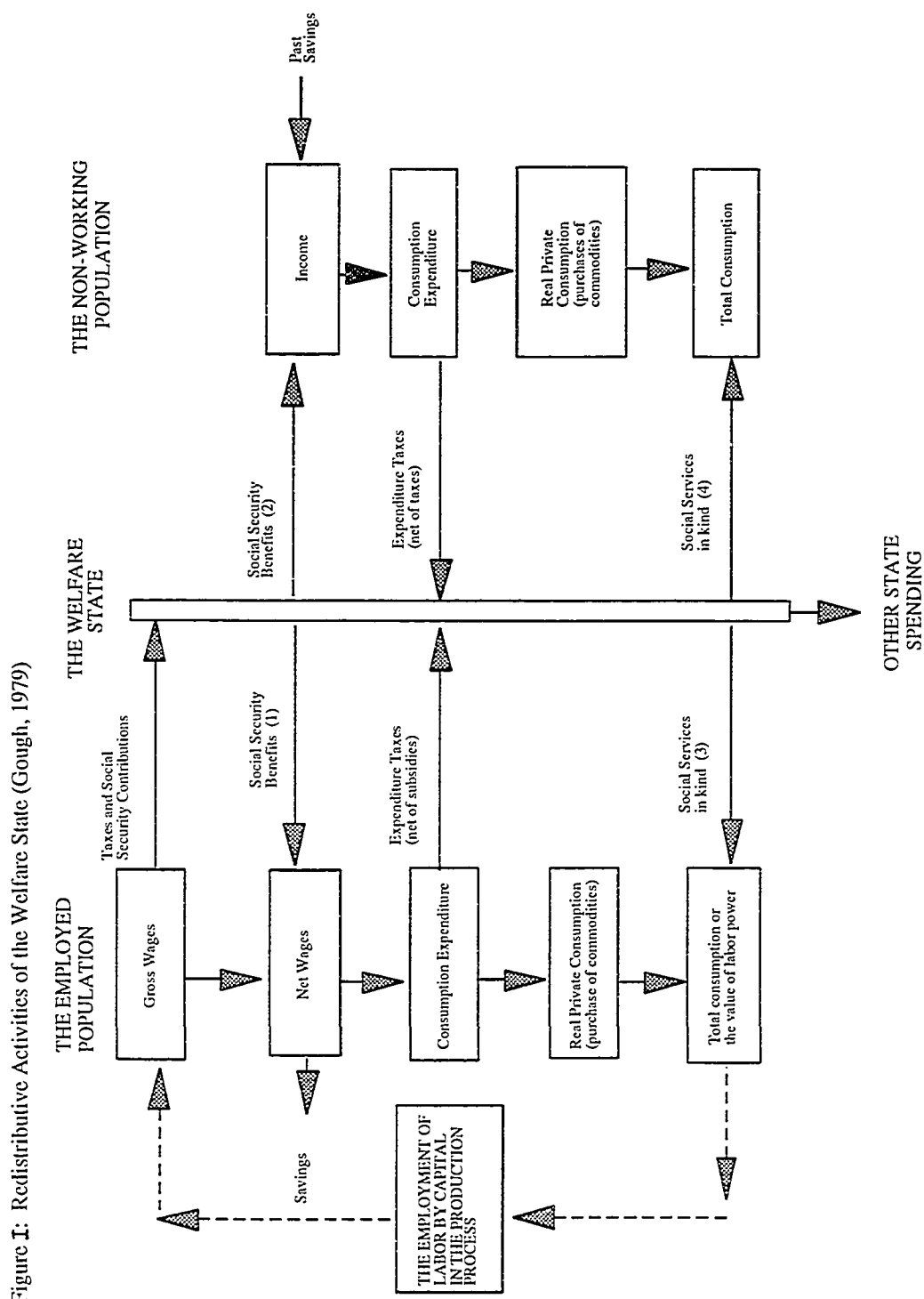
Gough presents a diagrammatic exposition of the flows between the working and non-working population, with a claim that the diagram "presents a more realistic view of the redistributive activities of the welfare state" (Gough, 1979, p. 114). It is interesting that in this "realistic" presentation the very existence of the capitalist class is entirely ignored.

The left-hand side of Figure I consists of the families of the working population, while the non-working population, made up of the "elderly retired, the long-term sick and handicapped and other groups, on the fringes of the labor marker" (Gough, 1979, p. 114) is at the right-hand side. Although he finds it "tempting" to estimate the values of each flow (1 and 2 represent benefits in cash - social wage - while 3 and 4 represent benefits in kind - collective consumption - received by employed and non-employed populations in each case), he does not do it on the grounds that it "would require a considerable amount of extra work" (Gough, 1979, p. 114).

The Distinction between working and non-working

populations is also problematic; it is not at all clear-cut. However, this additional vagueness, contrary to Gough's claim, is not mainly due to the problematic location of the industrial reserve army, but is rather due to the lack of classification of the members of the employed population on the basis of funds from which they receive their wages. In other words, unless we identify the source of the wages of employed workers, namely, as variable capital (and surplus-value in the case of unproductive workers), it is impossible to examine the final effect of state taxation and expenditures on profitability and accumulation. Hence, it is perfectly understandable why Gough has devised another "alternative" formulation which is less satisfactory than the position he sets out to criticize. Gough's proposed alternative reads as follows;

"there is no necessity to assume that the growth of the welfare state will inevitably reduce the quantity of surplus-value in the capitalist sector and thus inhibit accumulation and growth. Instead, one can argue that a greater share of wage and salary income is channeled via the state, some to return to working families, some to the dependent population and some to finance other areas of state expenditure. This redistribution of payments for labor need not necessarily encroach



on the share of profits or surplus value in total output" (Gough, 1979, p. 117).

Excluding the capitalist class from his diagram leads Gough to make such assertions as "the return flow of welfare benefits to secure the reproduction of labor power falls far short of the taxes extracted from the working class. A considerable portion goes to maintain the non-working population and to secure the reproduction of capital" (Gough, 1979, p. 117). This may or may not be true, depending upon the net flow between state and the capitalist class and it can be decided only by taking into consideration the state's economic activities via-a-vis the capitalist class which is a dimension totally missing from Gough's analysis.

To sum up, his failure to incorporate a discussion on productive and unproductive labor into his analysis of the value of labor power and social wage invalidates Gough's central argument concerning the effect of an expansion of welfare state expenditures on profitability and the accumulation process.

V.B. Gintis and Bowles and the Citizen Wage

Another important contribution to the literature dealing with the capitalist state within the framework of social wage is recently published article by Gintis and Bowles, which I shall attempt to evaluate (Gintis and Bowles, 1982A). The fundamental difference between Gough's and Gintis and Bowles' analyses is their views